

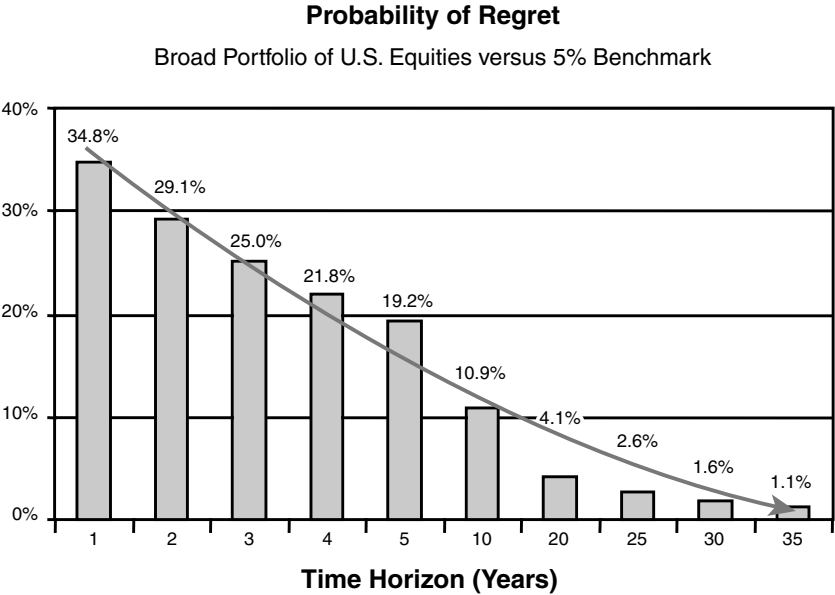


Figure 3.3 Patience is a financial virtue.

Source: Moshe Milevsky and the IFID Centre, 2008.

On the other hand, if you adopt a 35-year horizon, the stock market is quite safe, relative to the CD alternative. That’s because the probability of regret would then be about 1%. The flip side of this implies a strong probability of success, of having made the right choice. That probability is close to 99%.

In fact, I would argue that over a 35-year horizon, the certificate of deposit, or the money market fund, for that matter, is the risky asset class, and the equity mutual fund is the safe asset class, especially when you look at it on an after-tax basis. But the larger point I’m trying to make is that you should examine the odds that are attached to various courses of action.

Should I Take More Risk When I’m Younger?

If you’re wondering whether to take more risk when you’re younger, the short answer is not necessarily, “It depends among other things on your human capital.” Now for the long answer. To recap, in-